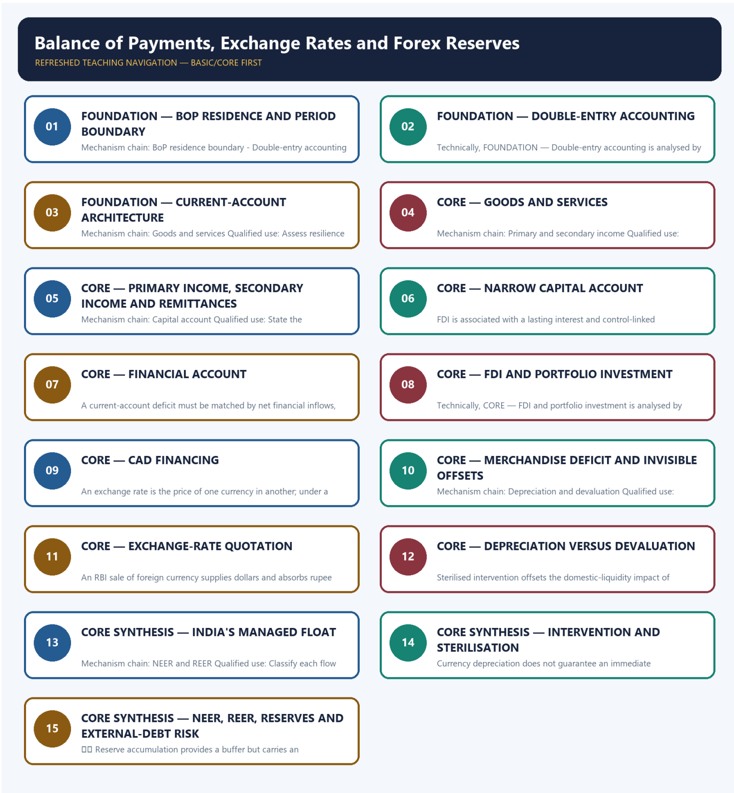
SOLVED PRACTICE WORKBOOK

Balance of Payments, Exchange Rates and Forex Reserves - Solved Practice Workbook

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing



Original deterministic study visual; labels are explanatory, not textual quotations.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

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Balance of Payments, Exchange Rates and Forex Reserves - Solved Practice Workbook

BASIC MCQS / REMEDIATION

Q1. Which statement correctly identifies BoP residence boundary?

A. The balance of payments is a statistical statement of transactions between residents and non-residents during a period; residence follows centre of predominant economic interest rather than nationality alone. B. BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. C. Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income. D. Merchandise exports and imports are distinct from services such as transport, travel, software and financial services even though both enter the current account.

Answer: A. Explanation: The balance of payments is a statistical statement of transactions between residents and non-residents during a period; residence follows centre of predominant economic interest rather than nationality alone. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q2. Which option preserves the accounting or regulatory boundary of BoP residence boundary?

A. Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income. B. The balance of payments is a statistical statement of transactions between residents and non-residents during a period; residence follows centre of predominant economic interest rather than nationality alone. C. Merchandise exports and imports are distinct from services such as transport, travel, software and financial services even though both enter the current account. D. Primary income includes compensation and investment income, while secondary income records current transfers such as personal remittances; remittances are not merchandise exports.

Answer: B. Explanation: The balance of payments is a statistical statement of transactions between residents and non-residents during a period; residence follows centre of predominant economic interest rather than nationality alone. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q3. Which statement uses BoP residence boundary without losing its vintage, basket or legal status?

A. Primary income includes compensation and investment income, while secondary income records current transfers such as personal remittances; remittances are not merchandise exports. B. Merchandise exports and imports are distinct from services such as transport, travel, software and financial services even though both enter the current account. C. The balance of payments is a statistical statement of transactions between residents and non-residents during a period; residence follows centre of predominant economic interest rather than nationality alone. D. The modern capital account records capital transfers and acquisition or disposal of non-produced non-financial assets; it is much narrower than the older broad use of the term capital account.

Answer: C. Explanation: The balance of payments is a statistical statement of transactions between residents and non-residents during a period; residence follows centre of predominant economic interest rather than nationality alone. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q4. Which option avoids the standard UPSC close-option trap about BoP residence boundary?

A. The modern capital account records capital transfers and acquisition or disposal of non-produced non-financial assets; it is much narrower than the older broad use of the term capital account. B. Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting. C. Primary income includes compensation and investment income, while secondary income records current transfers such as personal remittances; remittances are not merchandise exports. D. The balance of payments is a statistical statement of transactions between residents and non-residents during a period; residence follows centre of predominant economic interest rather than nationality alone.

Answer: D. Explanation: The balance of payments is a statistical statement of transactions between residents and non-residents during a period; residence follows centre of predominant economic interest rather than nationality alone. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q5. Which statement correctly identifies Double-entry accounting?

A. BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. B. Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income. C. Merchandise exports and imports are distinct from services such as transport, travel, software and financial services even though both enter the current account. D. Primary income includes compensation and investment income, while secondary income records current transfers such as personal remittances; remittances are not merchandise exports.

Answer: A. Explanation: BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q6. Which option preserves the accounting or regulatory boundary of Double-entry accounting?

A. Merchandise exports and imports are distinct from services such as transport, travel, software and financial services even though both enter the current account. B. BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. C. Primary income includes compensation and investment income, while secondary income records current transfers such as personal remittances; remittances are not merchandise exports. D. The modern capital account records capital transfers and acquisition or disposal of non-produced non-financial assets; it is much narrower than the older broad use of the term capital account.

Answer: B. Explanation: BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q7. Which statement uses Double-entry accounting without losing its vintage, basket or legal status?

A. The modern capital account records capital transfers and acquisition or disposal of non-produced non-financial assets; it is much narrower than the older broad use of the term capital account. B. Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting. C. BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. D. Primary income includes compensation and investment income, while secondary income records current transfers such as personal remittances; remittances are not merchandise exports.

Answer: C. Explanation: BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q8. Which option avoids the standard UPSC close-option trap about Double-entry accounting?

A. The modern capital account records capital transfers and acquisition or disposal of non-produced non-financial assets; it is much narrower than the older broad use of the term capital account. B. FDI is associated with a lasting interest and control-linked relationship, whereas portfolio investment is generally a tradable financial claim without equivalent managerial control; neither is automatically stable in every episode. C. Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting. D. BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss.

Answer: D. Explanation: BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q9. Which statement correctly identifies Current account?

A. Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income. B. Merchandise exports and imports are distinct from services such as transport, travel, software and financial services even though both enter the current account. C. Primary income includes compensation and investment income, while secondary income records current transfers such as personal remittances; remittances are not merchandise exports. D. The modern capital account records capital transfers and acquisition or disposal of non-produced non-financial assets; it is much narrower than the older broad use of the term capital account.

Answer: A. Explanation: Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q10. Which option preserves the accounting or regulatory boundary of Current account?

A. The modern capital account records capital transfers and acquisition or disposal of non-produced non-financial assets; it is much narrower than the older broad use of the term capital account. B. Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income. C. Primary income includes compensation and investment income, while secondary income records current transfers such as personal remittances; remittances are not merchandise exports. D. Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting.

Answer: B. Explanation: Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q11. Which statement uses Current account without losing its vintage, basket or legal status?

A. FDI is associated with a lasting interest and control-linked relationship, whereas portfolio investment is generally a tradable financial claim without equivalent managerial control; neither is automatically stable in every episode. B. Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting. C. Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income. D. The modern capital account records capital transfers and acquisition or disposal of non-produced non-financial assets; it is much narrower than the older broad use of the term capital account.

Answer: C. Explanation: Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q12. Which option avoids the standard UPSC close-option trap about Current account?

A. FDI is associated with a lasting interest and control-linked relationship, whereas portfolio investment is generally a tradable financial claim without equivalent managerial control; neither is automatically stable in every episode. B. A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone. C. Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting. D. Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income.

Answer: D. Explanation: Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q13. Which statement correctly identifies Goods and services?

A. Merchandise exports and imports are distinct from services such as transport, travel, software and financial services even though both enter the current account. B. Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting. C. The modern capital account records capital transfers and acquisition or disposal of non-produced non-financial assets; it is much narrower than the older broad use of the term capital account. D. Primary income includes compensation and investment income, while secondary income records current transfers such as personal remittances; remittances are not merchandise exports.

Answer: A. Explanation: Merchandise exports and imports are distinct from services such as transport, travel, software and financial services even though both enter the current account. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q14. Which option preserves the accounting or regulatory boundary of Goods and services?

A. FDI is associated with a lasting interest and control-linked relationship, whereas portfolio investment is generally a tradable financial claim without equivalent managerial control; neither is automatically stable in every episode. B. Merchandise exports and imports are distinct from services such as transport, travel, software and financial services even though both enter the current account. C. The modern capital account records capital transfers and acquisition or disposal of non-produced non-financial assets; it is much narrower than the older broad use of the term capital account. D. Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting.

Answer: B. Explanation: Merchandise exports and imports are distinct from services such as transport, travel, software and financial services even though both enter the current account. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q15. Which statement uses Goods and services without losing its vintage, basket or legal status?

A. Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting. B. A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone. C. Merchandise exports and imports are distinct from services such as transport, travel, software and financial services even though both enter the current account. D. FDI is associated with a lasting interest and control-linked relationship, whereas portfolio investment is generally a tradable financial claim without equivalent managerial control; neither is automatically stable in every episode.

Answer: C. Explanation: Merchandise exports and imports are distinct from services such as transport, travel, software and financial services even though both enter the current account. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q16. Which option avoids the standard UPSC close-option trap about Goods and services?

A. A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. B. FDI is associated with a lasting interest and control-linked relationship, whereas portfolio investment is generally a tradable financial claim without equivalent managerial control; neither is automatically stable in every episode. C. A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone. D. Merchandise exports and imports are distinct from services such as transport, travel, software and financial services even though both enter the current account.

Answer: D. Explanation: Merchandise exports and imports are distinct from services such as transport, travel, software and financial services even though both enter the current account. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q17. Which statement correctly identifies Primary and secondary income?

A. Primary income includes compensation and investment income, while secondary income records current transfers such as personal remittances; remittances are not merchandise exports. B. FDI is associated with a lasting interest and control-linked relationship, whereas portfolio investment is generally a tradable financial claim without equivalent managerial control; neither is automatically stable in every episode. C. The modern capital account records capital transfers and acquisition or disposal of non-produced non-financial assets; it is much narrower than the older broad use of the term capital account. D. Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting.

Answer: A. Explanation: Primary income includes compensation and investment income, while secondary income records current transfers such as personal remittances; remittances are not merchandise exports. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q18. Which option preserves the accounting or regulatory boundary of Primary and secondary income?

A. A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone. B. Primary income includes compensation and investment income, while secondary income records current transfers such as personal remittances; remittances are not merchandise exports. C. Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting. D. FDI is associated with a lasting interest and control-linked relationship, whereas portfolio investment is generally a tradable financial claim without equivalent managerial control; neither is automatically stable in every episode.

Answer: B. Explanation: Primary income includes compensation and investment income, while secondary income records current transfers such as personal remittances; remittances are not merchandise exports. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q19. Which statement uses Primary and secondary income without losing its vintage, basket or legal status?

A. FDI is associated with a lasting interest and control-linked relationship, whereas portfolio investment is generally a tradable financial claim without equivalent managerial control; neither is automatically stable in every episode. B. A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. C. Primary income includes compensation and investment income, while secondary income records current transfers such as personal remittances; remittances are not merchandise exports. D. A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone.

Answer: C. Explanation: Primary income includes compensation and investment income, while secondary income records current transfers such as personal remittances; remittances are not merchandise exports. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q20. Which option avoids the standard UPSC close-option trap about Primary and secondary income?

A. A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone. B. An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar. C. A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. D. Primary income includes compensation and investment income, while secondary income records current transfers such as personal remittances; remittances are not merchandise exports.

Answer: D. Explanation: Primary income includes compensation and investment income, while secondary income records current transfers such as personal remittances; remittances are not merchandise exports. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q21. Which statement correctly identifies Capital account?

A. The modern capital account records capital transfers and acquisition or disposal of non-produced non-financial assets; it is much narrower than the older broad use of the term capital account. B. A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone. C. FDI is associated with a lasting interest and control-linked relationship, whereas portfolio investment is generally a tradable financial claim without equivalent managerial control; neither is automatically stable in every episode. D. Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting.

Answer: A. Explanation: The modern capital account records capital transfers and acquisition or disposal of non-produced non-financial assets; it is much narrower than the older broad use of the term capital account. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q22. Which option preserves the accounting or regulatory boundary of Capital account?

A. A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone. B. The modern capital account records capital transfers and acquisition or disposal of non-produced non-financial assets; it is much narrower than the older broad use of the term capital account. C. FDI is associated with a lasting interest and control-linked relationship, whereas portfolio investment is generally a tradable financial claim without equivalent managerial control; neither is automatically stable in every episode. D. A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap.

Answer: B. Explanation: The modern capital account records capital transfers and acquisition or disposal of non-produced non-financial assets; it is much narrower than the older broad use of the term capital account. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q23. Which statement uses Capital account without losing its vintage, basket or legal status?

A. An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar. B. A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. C. The modern capital account records capital transfers and acquisition or disposal of non-produced non-financial assets; it is much narrower than the older broad use of the term capital account. D. A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone.

Answer: C. Explanation: The modern capital account records capital transfers and acquisition or disposal of non-produced non-financial assets; it is much narrower than the older broad use of the term capital account. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q24. Which option avoids the standard UPSC close-option trap about Capital account?

A. A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. B. Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement. C. An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar. D. The modern capital account records capital transfers and acquisition or disposal of non-produced non-financial assets; it is much narrower than the older broad use of the term capital account.

Answer: D. Explanation: The modern capital account records capital transfers and acquisition or disposal of non-produced non-financial assets; it is much narrower than the older broad use of the term capital account. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q25. Which statement correctly identifies Financial account?

A. Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting. B. A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. C. FDI is associated with a lasting interest and control-linked relationship, whereas portfolio investment is generally a tradable financial claim without equivalent managerial control; neither is automatically stable in every episode. D. A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone.

Answer: A. Explanation: Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q26. Which option preserves the accounting or regulatory boundary of Financial account?

A. A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. B. Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting. C. A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone. D. An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar.

Answer: B. Explanation: Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q27. Which statement uses Financial account without losing its vintage, basket or legal status?

A. A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. B. Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement. C. Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting. D. An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar.

Answer: C. Explanation: Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q28. Which option avoids the standard UPSC close-option trap about Financial account?

A. An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar. B. Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement. C. India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. D. Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting.

Answer: D. Explanation: Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q29. Which statement correctly identifies FDI and portfolio distinction?

A. FDI is associated with a lasting interest and control-linked relationship, whereas portfolio investment is generally a tradable financial claim without equivalent managerial control; neither is automatically stable in every episode. B. A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. C. A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone. D. An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar.

Answer: A. Explanation: FDI is associated with a lasting interest and control-linked relationship, whereas portfolio investment is generally a tradable financial claim without equivalent managerial control; neither is automatically stable in every episode. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q30. Which option preserves the accounting or regulatory boundary of FDI and portfolio distinction?

A. A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. B. FDI is associated with a lasting interest and control-linked relationship, whereas portfolio investment is generally a tradable financial claim without equivalent managerial control; neither is automatically stable in every episode. C. An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar. D. Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement.

Answer: B. Explanation: FDI is associated with a lasting interest and control-linked relationship, whereas portfolio investment is generally a tradable financial claim without equivalent managerial control; neither is automatically stable in every episode. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q31. Which statement uses FDI and portfolio distinction without losing its vintage, basket or legal status?

A. India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. B. Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement. C. FDI is associated with a lasting interest and control-linked relationship, whereas portfolio investment is generally a tradable financial claim without equivalent managerial control; neither is automatically stable in every episode. D. An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar.

Answer: C. Explanation: FDI is associated with a lasting interest and control-linked relationship, whereas portfolio investment is generally a tradable financial claim without equivalent managerial control; neither is automatically stable in every episode. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q32. Which option avoids the standard UPSC close-option trap about FDI and portfolio distinction?

A. Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement. B. An RBI sale of foreign currency supplies dollars and absorbs rupee liquidity, while a purchase of foreign currency injects rupees; the monetary effect can be offset through sterilisation operations. C. India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. D. FDI is associated with a lasting interest and control-linked relationship, whereas portfolio investment is generally a tradable financial claim without equivalent managerial control; neither is automatically stable in every episode.

Answer: D. Explanation: FDI is associated with a lasting interest and control-linked relationship, whereas portfolio investment is generally a tradable financial claim without equivalent managerial control; neither is automatically stable in every episode. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q33. Which statement correctly identifies CAD financing?

A. A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone. B. An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar. C. A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. D. Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement.

Answer: A. Explanation: A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q34. Which option preserves the accounting or regulatory boundary of CAD financing?

A. India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. B. A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone. C. Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement. D. An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar.

Answer: B. Explanation: A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather

than the CAD alone. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q35. Which statement uses CAD financing without losing its vintage, basket or legal status?

A. India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. B. Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement. C. A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone. D. An RBI sale of foreign currency supplies dollars and absorbs rupee liquidity, while a purchase of foreign currency injects rupees; the monetary effect can be offset through sterilisation operations.

Answer: C. Explanation: A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q36. Which option avoids the standard UPSC close-option trap about CAD financing?

A. Sterilised intervention offsets the domestic-liquidity impact of foreign-exchange operations but has costs and cannot permanently override underlying external imbalances. B. India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. C. An RBI sale of foreign currency supplies dollars and absorbs rupee liquidity, while a purchase of foreign currency injects rupees; the monetary effect can be offset through sterilisation operations. D. A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone.

Answer: D. Explanation: A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q37. Which statement correctly identifies Merchandise-deficit offset?

A. A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. B. An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar. C. India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. D. Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement.

Answer: A. Explanation: A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q38. Which option preserves the accounting or regulatory boundary of Merchandise-deficit offset?

A. India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. B. A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. C. Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement. D. An RBI sale of foreign currency supplies dollars and absorbs rupee liquidity, while a purchase of foreign currency injects rupees; the monetary effect can be offset through sterilisation operations.

Answer: B. Explanation: A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. The other options

belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q39. Which statement uses Merchandise-deficit offset without losing its vintage, basket or legal status?

A. An RBI sale of foreign currency supplies dollars and absorbs rupee liquidity, while a purchase of foreign currency injects rupees; the monetary effect can be offset through sterilisation operations. B. India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. C. A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. D. Sterilised intervention offsets the domestic-liquidity impact of foreign-exchange operations but has costs and cannot permanently override underlying external imbalances.

Answer: C. Explanation: A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q40. Which option avoids the standard UPSC close-option trap about Merchandise-deficit offset?

A. Sterilised intervention offsets the domestic-liquidity impact of foreign-exchange operations but has costs and cannot permanently override underlying external imbalances. B. NEER is a trade-weighted nominal effective exchange-rate index, while REER adjusts the effective rate for relative prices or costs; interpretation requires the published index convention, base and weights. C. An RBI sale of foreign currency supplies dollars and absorbs rupee liquidity, while a purchase of foreign currency injects rupees; the monetary effect can be offset through sterilisation operations. D. A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap.

Answer: D. Explanation: A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q41. Which statement correctly identifies Exchange-rate quote?

A. An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar. B. An RBI sale of foreign currency supplies dollars and absorbs rupee liquidity, while a purchase of foreign currency injects rupees; the monetary effect can be offset through sterilisation operations. C. India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. D. Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement.

Answer: A. Explanation: An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q42. Which option preserves the accounting or regulatory boundary of Exchange-rate quote?

A. India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. B. An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar. C. An RBI sale of foreign currency supplies dollars and absorbs rupee liquidity, while a purchase of foreign currency injects rupees; the monetary effect can be offset through sterilisation operations. D. Sterilised intervention offsets the domestic-liquidity impact of foreign-exchange operations but has costs and cannot permanently override underlying external imbalances.

Answer: B. Explanation: An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q43. Which statement uses Exchange-rate quote without losing its vintage, basket or legal status?

A. An RBI sale of foreign currency supplies dollars and absorbs rupee liquidity, while a purchase of foreign currency injects rupees; the monetary effect can be offset through sterilisation operations. B. NEER is a trade-weighted nominal effective exchange-rate index, while REER adjusts the effective rate for relative prices or costs; interpretation requires the published index convention, base and weights. C. An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar. D. Sterilised intervention offsets the domestic-liquidity impact of foreign-exchange operations but has costs and cannot permanently override underlying external imbalances.

Answer: C. Explanation: An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q44. Which option avoids the standard UPSC close-option trap about Exchange-rate quote?

A. Currency depreciation does not guarantee an immediate trade-balance improvement because contracts, import dependence, pass-through, capacity and export-import elasticities shape quantity adjustment. B. NEER is a trade-weighted nominal effective exchange-rate index, while REER adjusts the effective rate for relative prices or costs; interpretation requires the published index convention, base and weights. C. Sterilised intervention offsets the domestic-liquidity impact of foreign-exchange operations but has costs and cannot permanently override underlying external imbalances. D. An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar.

Answer: D. Explanation: An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q45. Which statement correctly identifies Depreciation and devaluation?

A. Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement. B. Sterilised intervention offsets the domestic-liquidity impact of foreign-exchange operations but has costs and cannot permanently override underlying external imbalances. C. India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. D. An RBI sale of foreign currency supplies dollars and absorbs rupee liquidity, while a purchase of foreign currency injects rupees; the monetary effect can be offset through sterilisation operations.

Answer: A. Explanation: Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q46. Which option preserves the accounting or regulatory boundary of Depreciation and devaluation?

A. Sterilised intervention offsets the domestic-liquidity impact of foreign-exchange operations but has costs and cannot permanently override underlying external imbalances. B. Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement. C. An RBI sale of foreign currency supplies dollars and absorbs rupee liquidity, while a purchase of foreign currency injects rupees; the monetary effect can be offset through sterilisation operations. D. NEER is a trade-weighted nominal effective exchange-rate index, while REER adjusts the effective rate for relative prices or costs; interpretation requires the published index convention, base and weights.

Answer: B. Explanation: Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q47. Which statement uses Depreciation and devaluation without losing its vintage, basket or legal status?

A. NEER is a trade-weighted nominal effective exchange-rate index, while REER adjusts the effective rate for relative prices or costs; interpretation requires the published index convention, base and weights. B. Currency depreciation does not guarantee an immediate trade-balance improvement because contracts, import dependence, pass-through, capacity and export-import elasticities shape quantity adjustment. C. Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement. D. Sterilised intervention offsets the domestic-liquidity impact of foreign-exchange operations but has costs and cannot permanently override underlying external imbalances.

Answer: C. Explanation: Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q48. Which option avoids the standard UPSC close-option trap about Depreciation and devaluation?

A. NEER is a trade-weighted nominal effective exchange-rate index, while REER adjusts the effective rate for relative prices or costs; interpretation requires the published index convention, base and weights. B. India's reserve assets include foreign-currency assets, monetary gold, Special Drawing Rights and the reserve-tranche position in the IMF; reserves are central-bank assets, not budget revenue. C. Currency depreciation does not guarantee an immediate trade-balance improvement because contracts, import dependence, pass-through, capacity and export-import elasticities shape quantity adjustment. D. Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement.

Answer: D. Explanation: Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q49. Which statement correctly identifies Managed float?

A. India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. B. Sterilised intervention offsets the domestic-liquidity impact of foreign-exchange operations but has costs and cannot permanently override underlying external imbalances. C. An RBI sale of foreign currency supplies dollars and absorbs rupee liquidity, while a purchase of foreign currency injects rupees; the monetary effect can be offset through sterilisation operations. D. NEER is a trade-weighted nominal effective exchange-rate index, while REER adjusts the effective rate for relative prices or costs; interpretation requires the published index convention, base and weights.

Answer: A. Explanation: India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q50. Which option preserves the accounting or regulatory boundary of Managed float?

A. Sterilised intervention offsets the domestic-liquidity impact of foreign-exchange operations but has costs and cannot permanently override underlying external imbalances. B. India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. C. NEER is a trade-weighted nominal effective exchange-rate index, while REER adjusts the effective rate for relative prices or costs; interpretation requires the published index convention, base and weights. D. Currency depreciation does not guarantee an immediate trade-balance improvement because contracts, import dependence, pass-through, capacity and export-import elasticities shape quantity adjustment.

Answer: B. Explanation: India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q51. Which statement uses Managed float without losing its vintage, basket or legal status?

A. NEER is a trade-weighted nominal effective exchange-rate index, while REER adjusts the effective rate for relative prices or costs; interpretation requires the published index convention, base and weights. B. Currency depreciation does not guarantee an immediate trade-balance improvement because contracts, import dependence, pass-through, capacity and export-import elasticities shape quantity adjustment. C. India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. D. India's reserve assets include foreign-currency assets, monetary gold, Special Drawing Rights and the reserve-tranche position in the IMF; reserves are central-bank assets, not budget revenue.

Answer: C. Explanation: India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q52. Which option avoids the standard UPSC close-option trap about Managed float?

A. Currency depreciation does not guarantee an immediate trade-balance improvement because contracts, import dependence, pass-through, capacity and export-import elasticities shape quantity adjustment. B. Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. C. India's reserve assets include foreign-currency assets, monetary gold, Special Drawing Rights and the reserve-tranche position in the IMF; reserves are central-bank assets, not budget revenue. D. India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level.

Answer: D. Explanation: India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q53. Which statement correctly identifies Intervention liquidity effect?

A. An RBI sale of foreign currency supplies dollars and absorbs rupee liquidity, while a purchase of foreign currency injects rupees; the monetary effect can be offset through sterilisation operations. B. Sterilised intervention offsets the domestic-liquidity impact of foreign-exchange operations but has costs and cannot permanently override underlying external imbalances. C. NEER is a trade-weighted nominal effective exchange-rate index, while REER adjusts the effective rate for relative prices or costs; interpretation requires the published index convention, base and weights. D. Currency depreciation does not guarantee an immediate trade-balance improvement because contracts, import dependence, pass-through, capacity and export-import elasticities shape quantity adjustment.

Answer: A. Explanation: An RBI sale of foreign currency supplies dollars and absorbs rupee liquidity, while a purchase of foreign currency injects rupees; the monetary effect can be offset through sterilisation operations. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q54. Which option preserves the accounting or regulatory boundary of Intervention liquidity effect?

A. Currency depreciation does not guarantee an immediate trade-balance improvement because contracts, import dependence, pass-through, capacity and export-import elasticities shape quantity adjustment. B. An RBI sale of foreign currency supplies dollars and absorbs rupee liquidity, while a purchase of foreign currency injects rupees; the monetary effect can be offset through sterilisation operations. C. NEER is a trade-weighted nominal effective exchange-rate index, while REER adjusts the effective rate for relative prices or costs; interpretation requires the published index convention, base and weights. D. India's reserve assets include foreign-currency assets, monetary gold, Special Drawing Rights and the reserve-tranche position in the IMF; reserves are central-bank assets, not budget revenue.

Answer: B. Explanation: An RBI sale of foreign currency supplies dollars and absorbs rupee liquidity, while a purchase of foreign currency injects rupees; the monetary effect can be offset through sterilisation operations. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q55. Which statement uses Intervention liquidity effect without losing its vintage, basket or legal status?

A. Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. B. Currency depreciation does not guarantee an immediate trade-balance improvement because contracts, import dependence, pass-through, capacity and export-import elasticities shape quantity adjustment. C. An RBI sale of foreign currency supplies dollars and absorbs rupee liquidity, while a purchase of foreign currency injects rupees; the monetary effect can be offset through sterilisation operations. D. India's reserve assets include foreign-currency assets, monetary gold, Special Drawing Rights and the reserve-tranche position in the IMF; reserves are central-bank assets, not budget revenue.

Answer: C. Explanation: An RBI sale of foreign currency supplies dollars and absorbs rupee liquidity, while a purchase of foreign currency injects rupees; the monetary effect can be offset through sterilisation operations. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q56. Which option avoids the standard UPSC close-option trap about Intervention liquidity effect?

A. Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. B. India's reserve assets include foreign-currency assets, monetary gold, Special Drawing Rights and the reserve-tranche position in the IMF; reserves are central-bank assets, not budget revenue. C. External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. D. An RBI sale of foreign currency supplies dollars and absorbs rupee liquidity, while a purchase of foreign currency injects rupees; the monetary effect can be offset through sterilisation operations.

Answer: D. Explanation: An RBI sale of foreign currency supplies dollars and absorbs rupee liquidity, while a purchase of foreign currency injects rupees; the monetary effect can be offset through sterilisation operations. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q57. Which statement correctly identifies Sterilisation boundary?

A. Sterilised intervention offsets the domestic-liquidity impact of foreign-exchange operations but has costs and cannot permanently override underlying external imbalances. B. Currency depreciation does not guarantee an immediate trade-balance improvement because contracts, import dependence, pass-through, capacity and export-import elasticities shape quantity adjustment. C. NEER is a trade-weighted nominal effective exchange-rate index, while REER adjusts the effective rate for relative prices or costs; interpretation requires the published index convention, base and weights. D. India's reserve assets include foreign-currency assets, monetary gold, Special Drawing Rights and the reserve-tranche position in the IMF; reserves are central-bank assets, not budget revenue.

Answer: A. Explanation: Sterilised intervention offsets the domestic-liquidity impact of foreign-exchange operations but has costs and cannot permanently override underlying external imbalances. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q58. Which option preserves the accounting or regulatory boundary of Sterilisation boundary?

A. India's reserve assets include foreign-currency assets, monetary gold, Special Drawing Rights and the reserve-tranche position in the IMF; reserves are central-bank assets, not budget revenue. B. Sterilised intervention offsets the domestic-liquidity impact of foreign-exchange operations but has costs and cannot permanently override underlying external imbalances. C. Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. D. Currency depreciation does not guarantee an immediate trade-balance improvement because contracts, import dependence, pass-through, capacity and export-import elasticities shape quantity adjustment.

Answer: B. Explanation: Sterilised intervention offsets the domestic-liquidity impact of foreign-exchange operations but has costs and cannot permanently override underlying external imbalances. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q59. Which statement uses Sterilisation boundary without losing its vintage, basket or legal status?

A. External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. B. India's reserve assets include foreign-currency assets, monetary gold, Special Drawing Rights and the reserve-tranche position in the IMF; reserves are central-bank assets, not budget revenue. C. Sterilised intervention offsets the domestic-liquidity impact of foreign-exchange operations but has costs and cannot permanently override underlying external imbalances. D. Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient.

Answer: C. Explanation: Sterilised intervention offsets the domestic-liquidity impact of foreign-exchange operations but has costs and cannot permanently override underlying external imbalances. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q60. Which option avoids the standard UPSC close-option trap about Sterilisation boundary?

A. Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. B. The balance of payments is a statistical statement of transactions between residents and non-residents during a period; residence follows centre of predominant economic interest rather than nationality alone. C. External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. D. Sterilised intervention offsets the domestic-liquidity impact of foreign-exchange operations but has costs and cannot permanently override underlying external imbalances.

Answer: D. Explanation: Sterilised intervention offsets the domestic-liquidity impact of foreign-exchange operations but has costs and cannot permanently override underlying external imbalances. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q61. Which statement correctly identifies NEER and REER?

A. NEER is a trade-weighted nominal effective exchange-rate index, while REER adjusts the effective rate for relative prices or costs; interpretation requires the published index convention, base and weights. B. Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. C. India's reserve assets include foreign-currency assets, monetary gold, Special Drawing Rights and the reserve-tranche position in the IMF; reserves are central-bank assets, not budget revenue. D. Currency depreciation does not guarantee an immediate trade-balance improvement because contracts, import dependence, pass-through, capacity and export-import elasticities shape quantity adjustment.

Answer: A. Explanation: NEER is a trade-weighted nominal effective exchange-rate index, while REER adjusts the effective rate for relative prices or costs; interpretation requires the published index convention, base and weights. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q62. Which option preserves the accounting or regulatory boundary of NEER and REER?

A. Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. B. NEER is a trade-weighted nominal effective exchange-rate index, while REER adjusts the effective rate for relative prices or costs; interpretation requires the published index convention, base and weights. C. India's reserve assets include foreign-currency assets, monetary gold, Special Drawing Rights and the reserve-tranche position in the IMF; reserves are central-bank assets, not budget revenue. D. External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance.

Answer: B. Explanation: NEER is a trade-weighted nominal effective exchange-rate index, while REER adjusts the effective rate for relative prices or costs; interpretation requires the published index convention, base and weights. The other options belong to different measures, vintages, baskets, instruments, institutions or legal

perimeters.

Q63. Which statement uses NEER and REER without losing its vintage, basket or legal status?

A. Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. B. The balance of payments is a statistical statement of transactions between residents and non-residents during a period; residence follows centre of predominant economic interest rather than nationality alone. C. NEER is a trade-weighted nominal effective exchange-rate index, while REER adjusts the effective rate for relative prices or costs; interpretation requires the published index convention, base and weights. D. External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance.

Answer: C. Explanation: NEER is a trade-weighted nominal effective exchange-rate index, while REER adjusts the effective rate for relative prices or costs; interpretation requires the published index convention, base and weights. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q64. Which option avoids the standard UPSC close-option trap about NEER and REER?

A. External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. B. The balance of payments is a statistical statement of transactions between residents and non-residents during a period; residence follows centre of predominant economic interest rather than nationality alone. C. BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. D. NEER is a trade-weighted nominal effective exchange-rate index, while REER adjusts the effective rate for relative prices or costs; interpretation requires the published index convention, base and weights.

Answer: D. Explanation: NEER is a trade-weighted nominal effective exchange-rate index, while REER adjusts the effective rate for relative prices or costs; interpretation requires the published index convention, base and weights. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q65. Which statement correctly identifies Trade-balance response?

A. Currency depreciation does not guarantee an immediate trade-balance improvement because contracts, import dependence, pass-through, capacity and export-import elasticities shape quantity adjustment. B. India's reserve assets include foreign-currency assets, monetary gold, Special Drawing Rights and the reserve-tranche position in the IMF; reserves are central-bank assets, not budget revenue. C. Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. D. External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance.

Answer: A. Explanation: Currency depreciation does not guarantee an immediate trade-balance improvement because contracts, import dependence, pass-through, capacity and export-import elasticities shape quantity adjustment. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q66. Which option preserves the accounting or regulatory boundary of Trade-balance response?

A. External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. B. Currency depreciation does not guarantee an immediate trade-balance improvement because contracts, import dependence, pass-through, capacity and export-import elasticities shape quantity adjustment. C. Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. D. The balance of payments is a statistical statement of transactions between residents and non-residents during a period; residence follows centre of predominant economic interest rather than nationality alone.

Answer: B. Explanation: Currency depreciation does not guarantee an immediate trade-balance improvement because contracts, import dependence, pass-through, capacity and export-import elasticities shape quantity adjustment. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q67. Which statement uses Trade-balance response without losing its vintage, basket or legal status?

A. BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. B. External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. C. Currency depreciation does not guarantee an immediate trade-balance improvement because contracts, import dependence, pass-through, capacity and export-import elasticities shape quantity adjustment. D. The balance of payments is a statistical statement of transactions between residents and non-residents during a period; residence follows centre of predominant economic interest rather than nationality alone.

Answer: C. Explanation: Currency depreciation does not guarantee an immediate trade-balance improvement because contracts, import dependence, pass-through, capacity and export-import elasticities shape quantity adjustment. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q68. Which option avoids the standard UPSC close-option trap about Trade-balance response?

A. BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. B. Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income. C. The balance of payments is a statistical statement of transactions between residents and non-residents during a period; residence follows centre of predominant economic interest rather than nationality alone. D. Currency depreciation does not guarantee an immediate trade-balance improvement because contracts, import dependence, pass-through, capacity and export-import elasticities shape quantity adjustment.

Answer: D. Explanation: Currency depreciation does not guarantee an immediate trade-balance improvement because contracts, import dependence, pass-through, capacity and export-import elasticities shape quantity adjustment. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q69. Which statement correctly identifies Forex-reserve composition?

A. India's reserve assets include foreign-currency assets, monetary gold, Special Drawing Rights and the reserve-tranche position in the IMF; reserves are central-bank assets, not budget revenue. B. Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. C. The balance of payments is a statistical statement of transactions between residents and non-residents during a period; residence follows centre of predominant economic interest rather than nationality alone. D. External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance.

Answer: A. Explanation: India's reserve assets include foreign-currency assets, monetary gold, Special Drawing Rights and the reserve-tranche position in the IMF; reserves are central-bank assets, not budget revenue. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q70. Which option preserves the accounting or regulatory boundary of Forex-reserve composition?

A. BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. B. India's reserve assets include foreign-currency assets, monetary gold, Special Drawing Rights and the reserve-tranche position in the IMF; reserves are central-bank assets, not budget revenue. C. The balance of payments is a statistical statement of transactions between residents and non-residents during a period; residence follows centre of predominant economic interest rather than nationality alone. D. External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance.

Answer: B. Explanation: India's reserve assets include foreign-currency assets, monetary gold, Special Drawing Rights and the reserve-tranche position in the IMF; reserves are central-bank assets, not budget revenue. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q71. Which statement uses Forex-reserve composition without losing its vintage, basket or legal status?

A. BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. B. Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income. C. India's reserve assets include foreign-currency assets, monetary gold, Special Drawing Rights and the reserve-tranche position in the IMF; reserves are central-bank assets, not budget revenue. D. The balance of payments is a statistical statement of transactions between residents and non-residents during a period; residence follows centre of predominant economic interest rather than nationality alone.

Answer: C. Explanation: India's reserve assets include foreign-currency assets, monetary gold, Special Drawing Rights and the reserve-tranche position in the IMF; reserves are central-bank assets, not budget revenue. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q72. Which option avoids the standard UPSC close-option trap about Forex-reserve composition?

A. BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. B. Merchandise exports and imports are distinct from services such as transport, travel, software and financial services even though both enter the current account. C. Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income. D. India's reserve assets include foreign-currency assets, monetary gold, Special Drawing Rights and the reserve-tranche position in the IMF; reserves are central-bank assets, not budget revenue.

Answer: D. Explanation: India's reserve assets include foreign-currency assets, monetary gold, Special Drawing Rights and the reserve-tranche position in the IMF; reserves are central-bank assets, not budget revenue. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q73. Which statement correctly identifies Reserve-adequacy test?

A. Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. B. External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. C. The balance of payments is a statistical statement of transactions between residents and non-residents during a period; residence follows centre of predominant economic interest rather than nationality alone. D. BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss.

Answer: A. Explanation: Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q74. Which option preserves the accounting or regulatory boundary of Reserve-adequacy test?

A. Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income. B. Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. C. The balance of payments is a statistical statement of transactions between residents and non-residents during a period; residence follows centre of predominant economic interest rather than nationality alone. D. BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss.

Answer: B. Explanation: Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q75. Which statement uses Reserve-adequacy test without losing its vintage, basket or legal status?

A. Merchandise exports and imports are distinct from services such as transport, travel, software and financial services even though both enter the current account. B. BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. C. Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. D. Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income.

Answer: C. Explanation: Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q76. Which option avoids the standard UPSC close-option trap about Reserve-adequacy test?

A. Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income. B. Merchandise exports and imports are distinct from services such as transport, travel, software and financial services even though both enter the current account. C. Primary income includes compensation and investment income, while secondary income records current transfers such as personal remittances; remittances are not merchandise exports. D. Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient.

Answer: D. Explanation: Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. The other options belong to different measures, vintages, baskets, instruments, institutions or

legal perimeters.

Q77. Which statement correctly identifies External-debt exposure?

A. External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. B. The balance of payments is a statistical statement of transactions between residents and non-residents during a period; residence follows centre of predominant economic interest rather than nationality alone. C. BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. D. Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income.

Answer: A. Explanation: External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q78. Which option preserves the accounting or regulatory boundary of External-debt exposure?

A. BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. B. External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. C. Merchandise exports and imports are distinct from services such as transport, travel, software and financial services even though both enter the current account. D. Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income.

Answer: B. Explanation: External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q79. Which statement uses External-debt exposure without losing its vintage, basket or legal status?

A. Merchandise exports and imports are distinct from services such as transport, travel, software and financial services even though both enter the current account. B. Primary income includes compensation and investment income, while secondary income records current transfers such as personal remittances; remittances are not merchandise exports. C. External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. D. Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income.

Answer: C. Explanation: External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q80. Which option avoids the standard UPSC close-option trap about External-debt exposure?

A. Primary income includes compensation and investment income, while secondary income records current transfers such as personal remittances; remittances are not merchandise exports. B. Merchandise exports and imports are distinct from services such as transport, travel, software and financial services even though both enter the current account. C. The modern capital account records capital transfers and acquisition or disposal of non-produced non-financial assets; it is much narrower than the older broad use of the term capital account. D. External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance.

Answer: D. Explanation: External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and

official assistance. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

PYQS AND ANSWER PRACTICE

TRANSPARENT OBJECTIVE-ONLY PYQ AUDIT

Audited ledgers route objective demands on external-debt composition, currency-crisis resilience, FDI characteristics and instruments, devaluation, NEER and REER, Federal Reserve tightening and ECBs, and Switzerland's gold-trade versus reserve-holder distinction. Official historical answer keys are unavailable locally for these routed items, so no answer letter is inferred.

OWNER PYQ LEDGER EXTRACTS

9. PYQ application

- ANALYSIS: 2024 Prelims sovereign-bond question highlights that sovereign claims depend on legal

and institutional credibility.

- ANALYSIS: Use current Survey data to explain why services exports and remittances stabilise

India's external account.

- ANALYSIS: 2023 Prelims: Switzerland's gold exports versus global gold-reserve ranking - answer

with the refining-hub-versus-reserve-holder distinction above, without citing a specific current rank or tonnage.

Historical PYQ Integration (2018-2023)

> **Status:** Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: `_PYQ-ROUTING-PRELIMS-2018-2023.md`. **Answer-key rule:** The official 2018-2023 Prelims/CSAT keys are not held locally; no option or answer has been inferred.

- **Years represented:** 2019, 2020, 2021, 2022, 2023
- **Paper(s):** Prelims GS-I
- **Routed question demands:** 9

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2019	Prelims GS-I	63	India external debt composition and currency denomination	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2019	Prelims GS-I	65	Factors that reduce currency crisis risk in India	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2020	Prelims GS-I	49	Policies for India immunity from global financial crisis	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2020	Prelims GS-I	51	Foreign Direct Investment major defining characteristics India	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2021	Prelims GS-I	7	Foreign Direct Investment eligible instruments classification	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2021	Prelims GS-I	8	Currency devaluation effects on exports and trade	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2022	Prelims GS-I	2	Nominal and Real Effective Exchange Rate concepts	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2022	Prelims GS-I	61	US Federal Reserve tightening capital flight and ECBs	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2023	Prelims GS-I	86	Switzerland gold exports and global gold reserves ranking	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.

What this owner must now support

- India external debt composition and currency denomination
- Factors that reduce currency crisis risk in India
- Policies for India immunity from global financial crisis
- Foreign Direct Investment major defining characteristics India
- Foreign Direct Investment eligible instruments classification
- Currency devaluation effects on exports and trade
- Nominal and Real Effective Exchange Rate concepts
- US Federal Reserve tightening capital flight and ECBs
- Switzerland gold exports and global gold reserves ranking

> The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

10. PYQ-based analytical application

- ANALYSIS: 2024 Prelims sovereign-bond question highlights that sovereign claims depend on legal and institutional credibility.

- ANALYSIS: Use current Survey data to explain why services exports and remittances stabilise

India's external account.

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish the current, capital and financial accounts of the balance of payments. Answer in about 150 words.

Model thesis: Claim: Current account. **Named evidence/example:** Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Capital account. **Named evidence/example:** The modern capital account records capital transfers and acquisition or disposal of non-produced non-financial assets; it is much narrower than the older broad use of the term capital account. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Financial account. **Named evidence/example:** Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income.
- The modern capital account records capital transfers and acquisition or disposal of non-produced non-financial assets; it is much narrower than the older broad use of the term capital account.
- Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting.

Qualified conclusion: Claim: Current account. **Named evidence/example:** Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Capital account. **Named evidence/example:** The modern capital account records capital transfers and acquisition or disposal of non-produced non-financial assets; it is much narrower than the older broad use of the term capital account. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Financial account. **Named evidence/example:** Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on "Distinguish the current, capital and financial accounts of the balance of payments. Answer in...", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Current account. **Named evidence/example:** Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Capital account. **Named evidence/example:** The modern capital account records capital transfers and acquisition or disposal of non-produced non-financial assets; it is much narrower than the older broad use of the term capital account. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Financial account. **Named evidence/example:** Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** The modern capital account records capital transfers and acquisition or disposal of non-produced non-financial assets; it is much narrower than the older broad use of the term capital account. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Current account. **Named evidence/example:** Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Capital account. **Named evidence/example:** The modern capital account records capital transfers and acquisition or disposal of non-produced non-financial assets; it is much narrower than the older broad use of the term capital account. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Financial account. **Named evidence/example:** Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 10 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For "Distinguish the current, capital and financial accounts of the balance of payments. Answer in...", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 2 - 10 MARKS

Question: Differentiate depreciation from devaluation and NEER from REER. Answer in about 150 words.

Model thesis: Claim: Exchange-rate quote. **Named evidence/example:** An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Depreciation and devaluation. **Named evidence/example:** Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** NEER and REER. **Named evidence/example:** NEER is a trade-weighted nominal effective exchange-rate index, while REER adjusts the effective rate for relative prices or costs; interpretation requires the published index convention, base and weights. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar.
- Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement.
- NEER is a trade-weighted nominal effective exchange-rate index, while REER adjusts the effective rate for relative prices or costs; interpretation requires the published index convention, base and weights.

Qualified conclusion: Claim: Exchange-rate quote. **Named evidence/example:** An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Depreciation and devaluation. **Named evidence/example:** Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** NEER and REER. **Named evidence/example:** NEER is a trade-weighted nominal effective exchange-rate index, while REER adjusts the effective rate for relative prices or costs; interpretation requires the published index convention, base and weights. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on "Differentiate depreciation from devaluation and NEER from REER. Answer in about 150 words.", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Exchange-rate quote. **Named evidence/example:** An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Depreciation and devaluation. **Named evidence/example:** Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** NEER and REER. **Named evidence/example:** NEER is a trade-weighted nominal effective exchange-rate index, while REER adjusts the effective rate for relative prices or costs; interpretation requires the published index convention, base and weights. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

3. **Claim and named evidence:** NEER is a trade-weighted nominal effective exchange-rate index, while REER adjusts the effective rate for relative prices or costs; interpretation requires the published index convention, base and weights. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Exchange-rate quote. **Named evidence/example:** An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Depreciation and devaluation. **Named evidence/example:** Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** NEER and REER. **Named evidence/example:** NEER is a trade-weighted nominal effective exchange-rate index, while REER adjusts the effective rate for relative prices or costs; interpretation requires the published index convention, base and weights. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 10 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For "Differentiate depreciation from devaluation and NEER from REER. Answer in about 150 words.", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 3 - 15 MARKS

Question: Explain how a current-account deficit is financed and when it becomes vulnerable. Answer in about 250 words.

Model thesis: Claim: Double-entry accounting. **Named evidence/example:** BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** CAD financing. **Named evidence/example:** A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Merchandise-deficit offset. **Named evidence/example:** A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Reserve-adequacy test. **Named evidence/example:** Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** External-debt exposure. **Named evidence/example:** External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss.
- A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone.
- A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap.
- Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient.
- External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance.

Qualified conclusion: Claim: Double-entry accounting. **Named evidence/example:** BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** CAD financing. **Named evidence/example:** A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Merchandise-deficit offset. **Named evidence/example:** A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:**

Reserve-adequacy test. **Named evidence/example:** Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** External-debt exposure. **Named evidence/example:** External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **explain** requires a direct position on "Explain how a current-account deficit is financed and when it becomes vulnerable. Answer in...", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Double-entry accounting. **Named evidence/example:** BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** CAD financing. **Named evidence/example:** A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Merchandise-deficit offset. **Named evidence/example:** A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Reserve-adequacy test. **Named evidence/example:** Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** External-debt exposure. **Named evidence/example:** External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability,

sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

2. **Claim and named evidence:** A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
5. **Claim and named evidence:** External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Double-entry accounting. **Named evidence/example:** BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** CAD financing. **Named evidence/example:** A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Merchandise-deficit offset. **Named evidence/example:** A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Reserve-adequacy test. **Named evidence/example:** Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** External-debt exposure. **Named evidence/example:** External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For "Explain how a current-account deficit is financed and when it becomes vulnerable. Answer in...", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 4 - 15 MARKS

Question: Trace the liquidity effects of RBI foreign-exchange intervention and sterilisation. Answer in about 250 words.

Model thesis: Claim: Managed float. **Named evidence/example:** India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Intervention liquidity effect. **Named evidence/example:** An RBI sale of foreign currency supplies dollars and absorbs rupee liquidity, while a purchase of foreign currency injects rupees; the monetary effect can be offset through sterilisation operations. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Sterilisation boundary. **Named evidence/example:** Sterilised intervention offsets the domestic-liquidity impact of foreign-exchange operations but has costs and cannot permanently override underlying external imbalances. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level.
- An RBI sale of foreign currency supplies dollars and absorbs rupee liquidity, while a purchase of foreign currency injects rupees; the monetary effect can be offset through sterilisation operations.
- Sterilised intervention offsets the domestic-liquidity impact of foreign-exchange operations but has costs and cannot permanently override underlying external imbalances.

Qualified conclusion: Claim: Managed float. **Named evidence/example:** India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Intervention liquidity effect. **Named evidence/example:** An RBI sale of foreign currency supplies dollars and absorbs rupee liquidity, while a purchase of foreign currency injects rupees; the monetary effect can be offset through sterilisation operations. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Sterilisation boundary. **Named evidence/example:** Sterilised intervention offsets the domestic-liquidity impact of foreign-exchange operations but has costs and cannot permanently override underlying external imbalances. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **trace** requires a direct position on "Trace the liquidity effects of RBI foreign-exchange intervention and sterilisation. Answer in...", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Managed float. **Named evidence/example:** India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Intervention liquidity effect. **Named evidence/example:** An RBI sale of foreign currency supplies dollars and absorbs rupee liquidity, while a purchase of foreign currency injects rupees; the monetary effect can be offset through sterilisation operations. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Sterilisation boundary. **Named evidence/example:** Sterilised intervention offsets the domestic-liquidity impact of foreign-exchange operations but has costs and cannot permanently override underlying external imbalances. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** An RBI sale of foreign currency supplies dollars and absorbs rupee liquidity, while a purchase of foreign currency injects rupees; the monetary effect can be offset through sterilisation operations. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status,

source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

3. **Claim and named evidence:** Sterilised intervention offsets the domestic-liquidity impact of foreign-exchange operations but has costs and cannot permanently override underlying external imbalances. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Managed float. **Named evidence/example:** India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Intervention liquidity effect. **Named evidence/example:** An RBI sale of foreign currency supplies dollars and absorbs rupee liquidity, while a purchase of foreign currency injects rupees; the monetary effect can be offset through sterilisation operations. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Sterilisation boundary. **Named evidence/example:** Sterilised intervention offsets the domestic-liquidity impact of foreign-exchange operations but has costs and cannot permanently override underlying external imbalances. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For "Trace the liquidity effects of RBI foreign-exchange intervention and sterilisation. Answer in...", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 5 - 20 MARKS

Question: Assess external-sector resilience through account composition, financing quality and reserves. Answer in about 300 words.

Model thesis: Claim: BoP residence boundary. **Named evidence/example:** The balance of payments is a statistical statement of transactions between residents and non-residents during a period; residence follows centre of predominant economic interest rather than nationality alone. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Double-entry accounting. **Named evidence/example:** BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Current account. **Named evidence/example:** Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Financial account. **Named evidence/example:** Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** CAD financing. **Named evidence/example:** A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Merchandise-deficit offset. **Named evidence/example:** A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Reserve-adequacy test. **Named evidence/example:** Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** External-debt exposure. **Named evidence/example:** External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- The balance of payments is a statistical statement of transactions between residents and non-residents during a period; residence follows centre of predominant economic interest rather than nationality alone.
- BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss.
- Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income.
- Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting.
- A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone.

- A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap.
- Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient.
- External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance.

Qualified conclusion: Claim: BoP residence boundary. **Named evidence/example:** The balance of payments is a statistical statement of transactions between residents and non-residents during a period; residence follows centre of predominant economic interest rather than nationality alone. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Double-entry accounting. **Named evidence/example:** BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Current account. **Named evidence/example:** Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Financial account. **Named evidence/example:** Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** CAD financing. **Named evidence/example:** A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Merchandise-deficit offset. **Named evidence/example:** A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Reserve-adequacy test. **Named evidence/example:** Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** External-debt exposure. **Named evidence/example:** External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **assess** requires a direct position on "Assess external-sector resilience through account composition, financing quality and...", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: BoP residence boundary. **Named evidence/example:** The balance of payments is a statistical statement of transactions between residents and non-residents during a period; residence follows centre of predominant economic interest rather than nationality alone. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Double-entry accounting. **Named evidence/example:** BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Current account. **Named evidence/example:** Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Financial account. **Named evidence/example:** Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** CAD financing. **Named evidence/example:** A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Merchandise-deficit offset. **Named evidence/example:** A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Reserve-adequacy test. **Named evidence/example:** Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** External-debt exposure. **Named evidence/example:** External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** The balance of payments is a statistical statement of transactions between residents and non-residents during a period; residence follows centre of predominant economic interest rather than nationality alone. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
5. **Claim and named evidence:** A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
6. **Claim and named evidence:** A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
7. **Claim and named evidence:** Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
8. **Claim and named evidence:** External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: BoP residence boundary. **Named evidence/example:** The balance of payments is a statistical statement of transactions between residents and non-residents during a period; residence follows centre of predominant economic interest rather than nationality alone. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Double-entry accounting. **Named evidence/example:** BoP transactions use double-entry accounting, so the overall statement balances through counterpart entries, reserve-asset changes and errors and omissions; a current-account deficit is not an unpaired loss. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Current account. **Named evidence/example:** Under BPM6-aligned presentation, the current account covers goods, services, primary income and secondary income. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Financial account. **Named evidence/example:** Direct investment, portfolio investment, financial derivatives, other investment such as loans and deposits, and reserve assets enter the financial account under modern BoP accounting. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** CAD financing. **Named evidence/example:** A current-account deficit must be matched by net financial inflows, reserve use and accounting adjustment, so vulnerability depends on financing quality, maturity, currency and hedging rather than the CAD alone. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Merchandise-deficit offset. **Named evidence/example:** A merchandise trade deficit can coexist with a smaller current-account deficit when net services, primary-income or secondary-income receipts offset part of the goods gap. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Reserve-adequacy test. **Named evidence/example:** Reserve adequacy is multidimensional and may be assessed against imports, short-term debt, broad money, external financing needs and stress scenarios; an absolute dollar stock alone is insufficient. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** External-debt exposure. **Named evidence/example:** External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 20 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For "Assess external-sector resilience through account composition, financing quality and...", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 6 - 20 MARKS

Question: Why does currency depreciation not automatically correct a trade deficit? Answer in about 300 words.

Model thesis: Claim: Exchange-rate quote. **Named evidence/example:** An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Depreciation and devaluation. **Named evidence/example:** Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Managed float. **Named evidence/example:** India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Trade-balance response. **Named evidence/example:** Currency depreciation does not guarantee an immediate trade-balance improvement because contracts, import dependence, pass-through, capacity and export-import elasticities shape quantity adjustment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** External-debt exposure. **Named evidence/example:** External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar.
- Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement.
- India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level.
- Currency depreciation does not guarantee an immediate trade-balance improvement because contracts, import dependence, pass-through, capacity and export-import elasticities shape quantity adjustment.
- External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance.

Qualified conclusion: Claim: Exchange-rate quote. **Named evidence/example:** An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Depreciation and devaluation. **Named evidence/example:** Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Managed float. **Named evidence/example:** India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Trade-balance response. **Named evidence/example:** Currency depreciation does not guarantee an immediate trade-balance improvement because contracts, import dependence, pass-through, capacity and export-import elasticities shape quantity adjustment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** External-debt exposure. **Named evidence/example:** External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on "Why does currency depreciation not automatically correct a trade deficit? Answer in about 300...", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Exchange-rate quote. **Named evidence/example:** An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Depreciation and devaluation. **Named evidence/example:** Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Managed float. **Named evidence/example:** India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Trade-balance response. **Named evidence/example:** Currency depreciation does not guarantee an immediate trade-balance improvement because contracts, import dependence, pass-through, capacity and export-import elasticities shape quantity adjustment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** External-debt exposure. **Named evidence/example:** External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** Currency depreciation does not guarantee an immediate trade-balance improvement because contracts, import dependence, pass-through, capacity and export-import elasticities shape quantity adjustment. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
5. **Claim and named evidence:** External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Exchange-rate quote. **Named evidence/example:** An exchange rate is the price of one currency in another; under a rupees-per-dollar quote, a higher number means the rupee has depreciated against the dollar. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Depreciation and devaluation. **Named evidence/example:** Depreciation and appreciation describe market-rate movement, while devaluation and revaluation are official parity changes under a fixed or administered exchange-rate arrangement. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Managed float. **Named evidence/example:** India operates a managed-float framework in which the rupee is market-determined but the RBI may intervene to smooth excessive volatility without declaring a fixed target level. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Trade-balance response. **Named evidence/example:** Currency depreciation does not guarantee an immediate trade-balance improvement because contracts, import dependence, pass-through, capacity and export-import elasticities shape quantity adjustment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** External-debt exposure. **Named evidence/example:** External vulnerability depends on borrower, instrument, original and residual maturity, currency denomination, hedging and rollover needs; ECBs are distinct from FDI, portfolio debt and official assistance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 20 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For "Why does currency depreciation not automatically correct a trade deficit? Answer in about 300...", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.